

3.2.2 Understanding management decision making

Content	Additional information
The value of decision making based on data (scientific decision making) and on intuition	Scientific decision making should include understanding and interpreting decision trees and calculating expected value and net gains. Decision making to include an understanding of: • risks • rewards • uncertainty • opportunity cost • the use and value of decision trees in decision making.
Influences on decision making	Influences on decision making to include: • mission • objectives • ethics • the external environment including competition • resource constraints.